

Weekly Market View

Inflation cools, but focus shifts back to oil

→ Peak Fed hawkishness is likely behind us following the release of a soft June CPI inflation print. This reinforces our view that the Fed will keep rates on hold through the second half of 2026.

→ However, a new surge in oil prices poses some risks to this view. Oil prices are likely to rise to the top of our expected USD 70-90/bbl near-term range, but we expect any rise above this to be short-lived.

→ We would focus on locking in attractive yields, but retain our strong preference for short bond maturities to avoid excessive exposure to any new inflation concerns.

→ China and India equities should benefit within Asia from any equities broadening trade, alongside Taiwan equities. AI monetisation is expected to be a key focus for upcoming tech sector earnings.

What can we learn from Q2 US bank earnings?

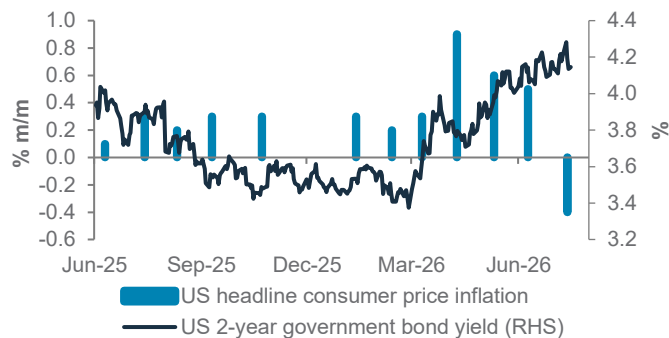
What is the impact of leadership changes in the UK?

Is the Swiss Franc set to weaken?

Charts of the week: Inflation softens

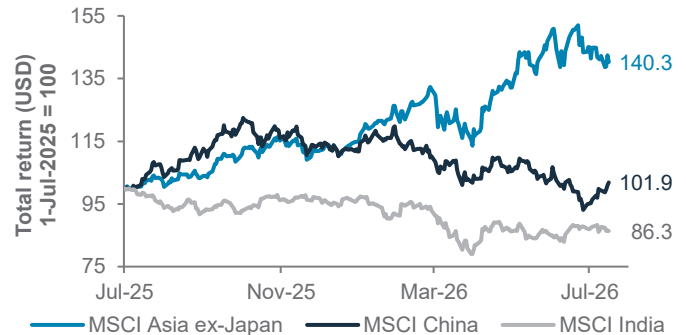
June US CPI data eases immediate inflation worries, but oil remains a risk. China, India equities have room to catch up.

CPI inflation m/m change vs. 2yr US govt. bond yield



Source: Bloomberg, Standard Chartered

MSCI equity indices: Asia ex-Japan vs. China, India



Editorial

Inflation cools, but focus shifts back to oil

Strategy summary: Peak Fed hawkishness is likely behind us following the release of a soft June CPI inflation print. This reinforces our view that the Fed will keep rates on hold through the second half of 2026. However, a new surge in oil prices poses some risks to this view. Oil prices are likely to rise to the top of our expected USD 70-90/bbl near-term range, but we believe sufficient incentives exist for all sides to avoid a larger escalation that pushes prices sustainably above this range.

We would focus on locking in attractive yields, but retain our strong preference for short bond maturities to avoid excessive exposure to any new inflation concerns. China and India equities should benefit within Asia from any equities broadening trade, alongside Taiwan equities. AI monetisation is expected to be a key focus for upcoming tech sector earnings.

US inflation data signals peak hawkishness likely behind us: US headline CPI inflation fell -0.4% m/m, the biggest monthly drop in years. This supported the view that the rise in inflation over Q2 indeed was likely a temporary surge led by oil prices alone rather than being a more broad-based risk. The data point reinforces our view that the Fed is likely to leave rates unchanged through H2 2026 and signals 'peak hawkishness' is now likely behind us. Fed Chair Warsh's inclusion of 'full employment' at his first semi-annual testimony to Congress supports this view. However, the relief was more visible in shorter-term US bond yields (2-year) relative to long-term bond yields (10-year), suggesting long term fiscal concerns remain.

Renewed Middle East escalation poses upside oil price risk in the near term: Following earlier attacks on ships transiting through the Strait of Hormuz, the US initiated new military strikes on Iran. This series of events is pushing oil prices towards the upper end of our expected USD 70-90/bbl range. While there is a non-negligible risk that Trump follows through on his threats to escalate further still, we believe the US continues to face an incentive to avoid a larger oil price shock given the risk to US growth and upcoming mid-term elections.

This means any temporary oil price spikes above USD 90/bbl are unlikely to be sustained for long. Having said that, we continue to see US TIPS (inflation-protected bonds) as an attractive hedge against a more adverse scenario.

Lock in elevated yield: Fiscal worries notwithstanding, our view that we are likely past peak Fed hawkishness means that the recent rise in bond yields offers an opportunity to lock in yields for income. We maintain a broad preference for credit over government bonds, with an Overweight on EM USD government bonds. However, we continue to favour short maturities to avoid excessive exposure to volatility triggered by any new inflation or fiscal worries.

China, India equities to benefit from broadening of rally: 2026 year-to-date gains in Asia ex-Japan equities have been driven by Korea and Taiwan equities (ie. semiconductor-heavy markets). Chinese and Indian equities have both lagged. However, these two markets should benefit from a rotation into broader regional exposure and a softening of the US Dollar, where long positioning is close to extremes. We remain Overweight China and India equities, with our preference for the Hang Seng tech index providing exposure to a broadening of gains within the Asia technology sector.

Watch upcoming tech sector earnings, UK appointments: While semi-conductor sector earnings growth visibility remains strong, we also expect solid result announcements from US hyperscalers. This is likely to be driven by robust AI adoption and digital advertising trends. However, the key market focus is likely to remain on the level of AI capex spending and any signals on the pace of AI monetisation.

In the UK, the key focus for markets following Burnham's likely appointment as Prime Minister will be the choice of Chancellor of the Exchequer and any related signals on the extent of fiscal policy continuity. These are likely to be key for UK bond yields and the GBP, which are expected to stay rangebound till greater clarity emerges.

— Manpreet Gill

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as positive for risk assets in the near-term

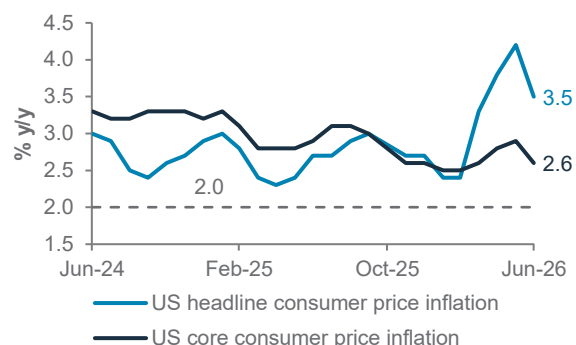
(+) factors: Easing US price pressures; robust US economic activity

(-) factors: Escalating geopolitical tensions revive inflation risks

	Positive for risk assets	Negative for risk assets
Macro data	- US headline and core consumer and producer price inflation eased more than expected in June - US NFIB small business optimism index rose more than expected to 97.4 - China export grew 27.0% y/y, above estimates - China retail sales rose unexpectedly by 1% y/y	China Q2 GDP rose by 4.3% y/y, below estimates
	Our assessment: Positive – Easing inflationary pressures in the US, strong China exports growth	
Policy developments	- July Fed Beige Book showed economic expansion, stable employment, and signs of moderating inflation - Fed's Williams said current rates are well positioned to bring inflation back to the 2% target - Bank of Canada kept policy rate at 2.25% as expected, and said the economy is growing	
	Our assessment: Positive – Robust US economic activity, potential Fed rate pause	
Other developments	President Trump abandoned a 20% charge on cargo crossing the Strait of Hormuz one day after announcing it	- The US carried out a fresh wave of strikes on Iran's coastal defense systems and missile sites - Iran threatened to close all other vital export corridors after the US reimposed a naval blockade
	Our assessment: Negative – Escalating geopolitical tensions	

US headline and core consumer price inflation eased more than expected to 3.5% y/y and 2.6%, respectively in June

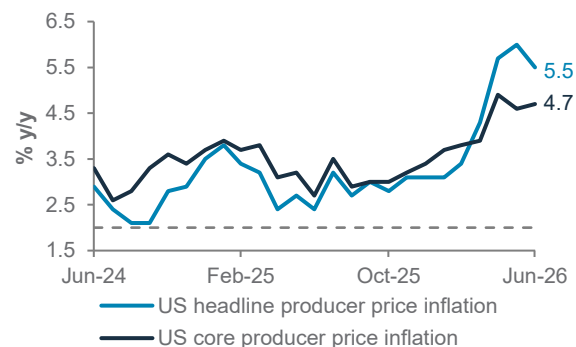
US headline and core consumer price inflation



Source: Bloomberg, Standard Chartered

US headline producer inflation eased in June to 5.5% y/y, well below market forecasts of 6.2% y/y and decelerating from 6% y/y in May

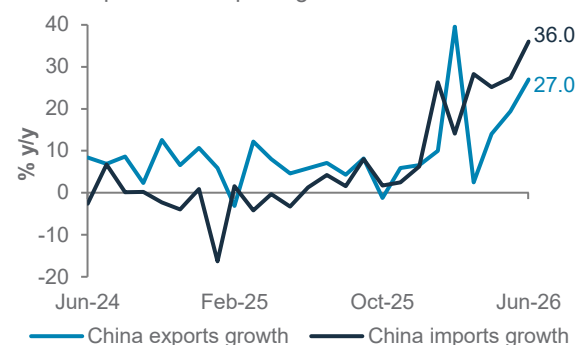
US headline and core producer price inflation



Source: Bloomberg, Standard Chartered

China's exports grew 27% y/y in June driven by the global artificial intelligence (AI) boom and surging electric vehicle (EV) sales

China exports and imports growth



Source: Bloomberg, Standard Chartered

Top client questions

Q What can we learn from major US banks' Q2 earnings?

Our view: Major US banks delivered significant earnings beats in Q2 vs. consensus estimates, making them attractive to add on pullbacks. We maintain a Core allocation to US financials.

Rationale: Major US banks beat consensus expectations across both earnings and revenues, primarily driven by a **surge in equities trading** and **record investment banking fees**. Market volatility, AI-related capital markets activity and mega listings, such as the SpaceX initial public offering, supported this growth. Positive loan growth supported net interest income. Meanwhile, resilient US consumers supported the **stable credit quality**.

Looking ahead, growth should be supported by a **healthy pipeline for equity underwriting** and **M&A advisory fees**. An elevated equity market also bolsters fee income for the asset management business. **Guidance was broadly raised**, although management flagged tougher H2 comparisons and sounded a **cautious tone** around macro uncertainties, inflation risks and big fiscal deficits. Valuations of major US banks are elevated but justified, in our view.

— Michelle Kam, CFA, Investment Strategist

Q What do you expect from upcoming tech sector earnings, including those from US hyperscalers?

Our view: Earnings growth in the semiconductor sector remains strong with good visibility. We favour diversifying exposure into Taiwan equities. We expect US hyperscalers to deliver strong growth and prefer gaining exposure through the US communication services sector.

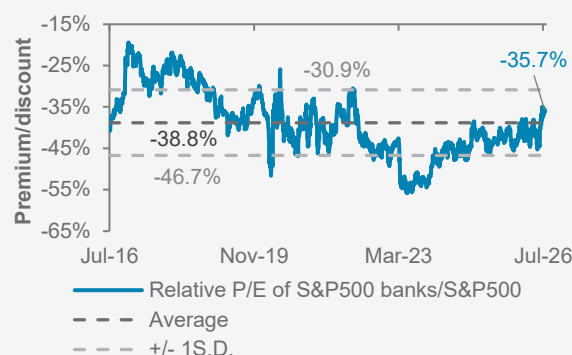
Rationale: Earnings reports from the semiconductor industry point to unprecedented long-term visibility. **Sustained AI-driven demand** across both advanced logic and memory chips is giving chipmakers the confidence to accelerate capacity expansion plans. **Taiwan equities'** significant exposure to the semiconductor industry makes them a preferred route for gaining exposure to this attractive growth.

For US hyperscalers, we expect **solid results**, driven by cloud growth with robust AI adoption, and healthy digital advertising trends. The market is likely to focus on whether hyperscalers' significant AI investments are beginning to generate meaningful returns. Hence, management commentary on **AI monetisation** – specifically regarding new revenue streams through enterprise subscriptions, AI model usage growth and consumption-based pricing trends – will be critical. We also expect hyperscalers to maintain **elevated AI capital expenditure (capex) spending**. We see the US communication services sector – which is dominated by large internet platforms with reasonable valuations – as an attractive opportunistic trade idea.

— Fook Hien Yap, Senior Investment Strategist

US banks are trading at a reasonable valuation discount to the broader US market, in line with the historical average, while the growth outlook remains strong

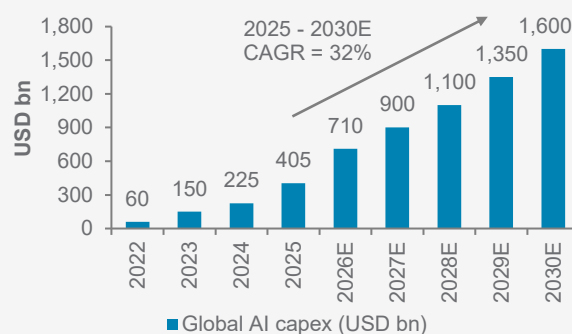
12-month forward P/E valuation of S&P500 banks relative to the S&P500 Index



Source: Bloomberg, Standard Chartered

Rising AI capex is supported by monetisation trends

Global AI capex over the years



Source: Company reports, Standard Chartered

Top client questions (cont'd)

Q Does the soft June US consumer inflation print validate the view that peak Fed hawkishness is behind us? What is your view on US bond yields following the soft inflation print?

Our view: We believe peak inflation is behind us in the near term and expect the Fed to hold rates steady through year-end 2026. Short-term yields declined more than long-term yields after the soft June US consumer inflation print, validating our view that the term premium will remain elevated. We maintain our view that the US 2-year Treasury yield will trade in a range of 4.00-4.25%. While the 10-year yield has traded above our near-term target range of 4.25-4.50%, we expect it to technically range between trend support at 4.47% and resistance at 4.63%.

Rationale: June US headline and core inflation slowed to 3.5% y/y and 2.6% y/y, respectively, coming in below market expectations. The data supports our view that peak inflation and Fed hawkishness are behind us in the near term and reinforces our view that the Fed will remain on hold for the rest of 2026. Despite the renewed Middle East tensions this week, we view the escalation as transient and do not expect energy prices to retest their April highs.

Bond yields fell after the latest US inflation data, with **shorter-dated US Treasury yields falling more than those at the long end**. The 10-year yield pulled back from its 13 July high of 4.626% to around 4.59%, while the 2-year yield fell from its one-year high of 4.288% to around 4.19%. **Markets now expect a less hawkish Fed**. However, fiscal worries remain and will likely keep the term premium elevated.

— Ray Heung, Senior Investment Strategist

Q What is your outlook for USD/CHF following the pair's attempt to recover towards 0.8150?

Our view: We expect USD/CHF to remain rangebound with a bearish bias in the coming weeks, with the USD as the key driver.

Rationale: The latest US consumer and producer inflation prints were softer than expected, which has trimmed Fed rate-hike expectations and weighed on the USD. Swiss inflation edged down to 0.5% y/y in June from 0.6% y/y. The slowdown reflected a **slight deceleration in services prices** and **some early energy price easing**.

We see an **opportunity for price dynamics to gradually reaccelerate** in the coming quarters as the effect of the Swiss franc's (CHF's) previous appreciation fades. This should allow the Swiss National Bank (SNB) to shift its focus towards **policy normalisation** over time. The central bank's increased willingness to **intervene against excessive CHF strength** remains a latent constraint on USD/CHF downside, with SNB President Schlegel having recently reaffirmed that stance. The pair rise has been rejected repeatedly at 0.8150 and is likely to remain **rangebound with a bearish bias**, with support at 0.7920.

— Iris Yuen, Investment Strategist

Short-term yields declined more than long-term yields post the US June consumer inflation report. We expect rangebound yields in the near term, with the term premium remaining elevated

US 2- and 10-year government bond yields



Source: Bloomberg, Standard Chartered

USD/CHF rise rejected repeatedly at 0.8150

USD/CHF and technicals



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q Andy Burnham is widely expected to be confirmed as the leader of the UK Labour Party on 17 July. Will this spark heightened volatility in the GBP and UK bond (Gilt) yields?

Our view: We expect Gilt yields and the GBP to remain rangebound in the near term until there is greater clarity on Burnham's policy agenda.

Rationale: Andy Burnham is expected to become Prime Minister (PM) of the UK on 20 July, having secured the backing of a majority of Labour Members of Parliament. The **Gilt market is anxious** about his appointment, as Burnham's fiscal vision is seen as more **left-leaning** than that of outgoing PM Starmer's. Using the 10-year Gilt as an example, yields have risen by about **30bps** since he emerged as a strong contender in late June, reflecting these concerns.

However, Burnham has publicly ruled out changing Chancellor of the Exchequer Rachel Reeves's self-imposed borrowing limits, while signalling that he is **open to reducing the welfare bill** if he becomes PM, suggesting some degree of **fiscal discipline**. That said, the market will likely remain concerned about how Burnham may seek flexibility within the fiscal rules. He was reportedly considering bringing forward **a bolstered budget later in 2026**, potentially combining it with the Autumn Budget, including an additional GBP 40bn to fund infrastructure and housing investment, alongside the removal of defence spending from existing fiscal rules. Perhaps most worrying for the market were **his comments that the UK had to move beyond being "in hock" to bond markets**, which contributed to the initial yield spike when he entered the PM race.

Having said that, we think Gilt markets have already embedded a meaningful near-term political risk premium. We expect them to remain **rangebound for now**, as investors await the Autumn Budget and Parliament enters its summer recess until September. **Whether Reeves retains her position in the cabinet** will also be closely monitored as a signal of continuity in fiscal policy.

The larger GBP risk will come after Burnham's confirmation, particularly through his **choice of chancellor** and the **credibility of his spending plans**. Policies that promote investment and growth while respecting fiscal constraints would be broadly neutral to positive for the GBP. In contrast, unfunded spending commitments or a perceived weakening of fiscal discipline are likely to revive concerns over **UK debt sustainability** and weigh on the currency. Our base case is, therefore, **a brief increase in GBP volatility**, rather than a sustained directional move. GBP/USD is likely to remain more sensitive to the USD, US rate expectations, and upcoming UK fiscal announcements than to 17 July's confirmation itself.

— Ray Heung, Senior Investment Strategist
— Iris Yuen, Investment Strategist

Gilt yields have already risen ahead of Andy Burnham's confirmation as the next UK PM

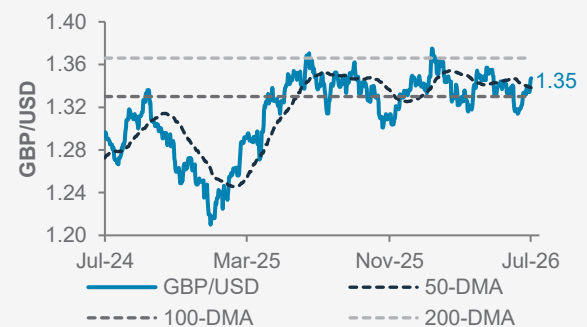
UK 10-year government bond yield



Source: Bloomberg, Standard Chartered

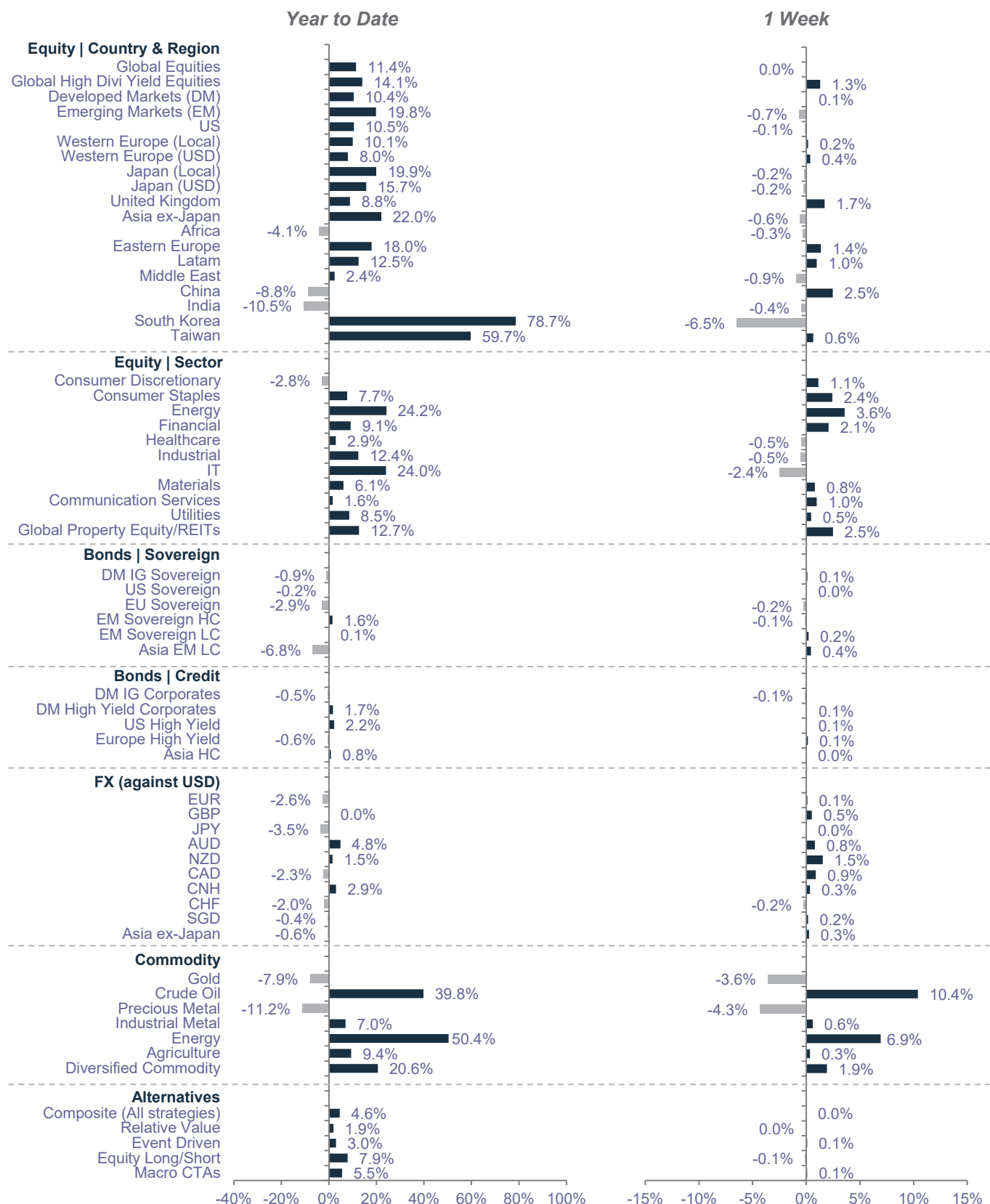
GBP/USD in the range of 1.3300-1.3660

GBP/USD and technicals



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 16 July 2026; 1-week period: 9 July 2026 to 16 July 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ◆	US Communication ▲
UK ▼	US Healthcare ▲
Asia ex-Japan ▲	Europe ex-UK Financials ▲
Japan ◆	Europe ex-UK Industrials ▲
Other EM ◆	Japan Financials ▲
	China Communication ▲
Bonds ▼	China Technology ▲
Credit	Govt
Asia USD ◆	Govt EM Local ◆
Corp DM HY ◆	Govt DM IG ▼
Govt EM USD ▲	
Corp DM IG ◆	Alternatives ◆
	Gold ▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,645

Technical indicators for key markets as of 16 Jul close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,534	7,358	7,645	20.1	1.2
STOXX 50	6,284	6,166	6,416	15.2	3.1
FTSE 100	10,572	10,354	10,769	12.8	3.5
TOPIX	4,029	3,927	4,134	16.9	2.3
Shanghai Comp	3,882	3,775	4,083	13.0	3.1
Hang Seng	25,009	23,277	25,981	10.6	3.5
Nifty 50	24,073	23,728	24,474	18.4	1.8
MSCI Asia ex-Japan	1,104	1,044	1,183	11.1	2.2
MSCI EM	1,664	1,582	1,777	10.7	2.6
Crude oil (WTI)	79.0	70.1	84.7	na	na
Gold	3,977	3,819	4,258	na	na
UST 10Y Yield	4.55	4.40	4.67	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	USD	Leading Index	Jun	–	0.1%
	EUR	Germany ZEW Survey Expectations	Jul	–	10.5
TUE	EUR	Germany ZEW Survey Current Situation	Jul	–	-81.0
	EUR	ZEW Survey Expectations	Jul	–	9.5
WED	GBP	CPI y/y	Jun	–	2.8%
	GBP	CPI Core y/y	Jun	–	2.6%
THU	EUR	ECB Deposit Facility Rate	23-Jul	–	2.3%
	USD	Chicago Fed Nat Activity Index	Jun	–	-0.1
	EUR	Consumer Confidence	Jul P	–	-17.7
FRI/SAT	EUR	GfK Consumer Confidence	Aug	–	-29.2
	EUR	S&P Global Eurozone Manufacturing PMI	Jul P	–	51.4
	EUR	S&P Global Eurozone Services PMI	Jul P	–	49.4
	USD	S&P Global US Manufacturing PMI	Jul P	–	53.9
	USD	S&P Global US Services PMI	Jul P	–	51.2
	USD	New Home Sales	Jun	600k	580k

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 16 Jul close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	2.10
Global Equities	●	↑	1.49
Gold	●	→	1.34
Equity			
MSCI US	●	→	1.42
MSCI Europe	●	↑	1.77
MSCI AC AXJ	●	↑	1.63
Fixed Income			
DM Corp Bond	●	↓	2.05
DM High Yield	●	↓	1.54
EM USD	●	→	1.82
EM Local	●	→	1.71
Asia USD	●	↓	2.16
Currencies			
EUR/USD	●	↓	1.34

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

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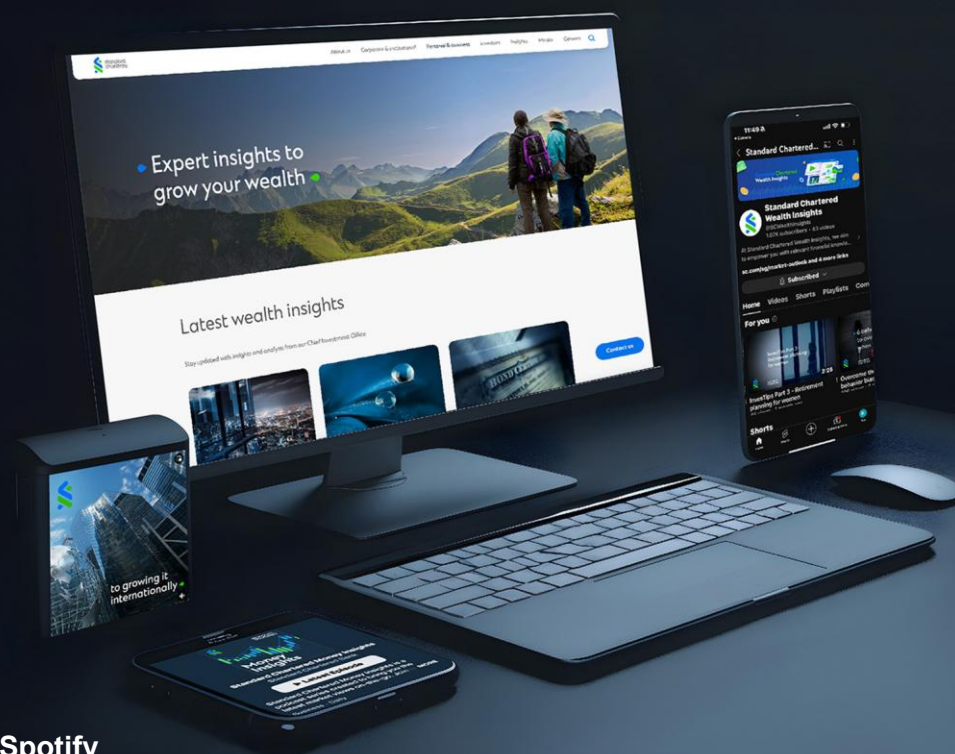
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Weekly Market View

Eye on earnings as Iran tensions return

→ The upcoming US Q2 earnings season is likely to reinforce two factors that have driven global equities to record highs this year, despite a once-in-a-generation oil shock.

→ First, the upswing in tech sector earnings, driven by soaring demand from the buildout of the AI-related ecosystem. Second, the broadening of earnings growth beyond the tech sector. These two drivers are likely to continue to help overcome any intermittent escalation in Middle East tensions.

→ We expect the global tech sector to beat earnings expectations, allaying concerns about capital investment and AI monetisation. This creates an opportunity for those under-invested in the sector to add exposure ahead of the earnings season.

→ Meanwhile, broadening of earnings should benefit our preferred equity markets in Asia ex-Japan, particularly in China. In fixed income, we see an opportunity to add to US inflation-protected bonds, given attractive real yields.

Opportunity in memory segment of tech sector: long-term agreements provide strong earnings support

US investment grade bonds remain core holding: hyperscaler issuance manageable

NZD/USD upside: Hawkish New Zealand central bank

Charts of the week: Strong earnings, attractive real yields

We expect US Q2 earnings to beat expectations, driving equities higher; US inflation protected bonds offer attractive yield

S&P500 index quarterly earnings and consensus estimates



Source: Bloomberg, LSEG I/B/E/S, Standard Chartered

US 10-year breakeven inflation and 10-year real yield



Editorial

Eye on earnings as Iran tensions return

Strategy summary: The upcoming US Q2 earnings season is likely to reinforce two factors that have driven global equities to record highs this year, despite a once-in-a-generation oil shock. First, the strong upswing in tech sector earnings, driven by soaring demand from the buildout of the AI-related eco system. Second, the broadening of earnings growth beyond the tech sector. These two drivers are likely to continue to help overcome any intermittent escalation in Middle East tensions.

We expect the global tech sector to beat earnings expectations, allaying concerns about capital investment and AI monetisation. This creates an opportunity for those under-invested in the sector to add exposure ahead of the earnings season. Meanwhile, broadening of earnings should benefit our preferred equity markets in Asia ex-Japan, particularly in China. In fixed income, we see an opportunity to add to US inflation-protected bonds, given attractive real yields.

Controlled escalation in the Middle East: We see the flare-up in Middle East tensions as a controlled escalation aimed at domestic audiences. While Iran seeks to keep oil prices elevated to maintain pressure on the US, President Trump is likely to be constrained by the need to keep oil prices subdued before November's mid-term elections. We have seen a spike in oil supply in recent weeks, but one thing to watch will be the willingness of tankers to re-enter the strait.

We see US oil trading in the USD 70–90/bbl range in the near term. The main risk is a re-escalation after the US mid-term elections, although we believe the likelihood of a divided Congress after the elections (with Democrats likely controlling the House) is likely to restrain foreign military actions.

Divided Fed confirms rates on hold. Minutes from the Fed's June meeting, the first under Chair Warsh, showed members remained split on the rates path. While hawkish members focussed on elevated and sticky inflation, the sharp drop in oil prices since April's peak should help US inflation gradually ease towards the Fed's 2% target over the coming quarters.

Next week's US inflation report for June should show inflation peaked in Q2. This should enable Warsh to convince policymakers to hold rates for the rest of the year, at least until his five taskforces looking at various aspects of Fed decision making and communications submit their reports. We see value in US inflation-protected bonds. Inflation expectations have fallen sharply since May, close to the bottom of their four-year range and real yields are near their highest since 2008.

Eye on earnings: Although geopolitical risks warrant monitoring, the upcoming earnings season is likely to be the key market driver in the next few weeks. Sentiment should recover as US corporate earnings remain strong, with S&P 500 profits estimated to have risen around 24% in Q2 and are expected to rise more than 20% y/y through the rest of 2026, before easing to a healthy mid-teens pace in 2027. The tech sector remains the main growth engine, but earnings resilience is broadening: excluding technology, S&P 500 earnings are still expected to grow in double-digits. With earnings visibility strongest in our two preferred markets, the US and Asia ex-Japan, investors can use volatility to add quality exposure.

Opportunities in tech: Investors who are under-exposed to the global tech sector have an opportunity to use the recent correction to add some exposure ahead of the earnings season. As guidance, the global tech sector now represents more than 40% of global equities and indirectly around 21% of multi-asset strategies such as our balanced foundation portfolio.

Specifically, we are taking the following actions: a) Increase semiconductor exposure in Global Tech to 35-40% from 30-35%, internet around 30%, hardware and software 10-15% each and services and others around 5%; b) Within semiconductors, we would increase our allocation in the beaten-down memory segment, where we see a short-term bottom emerging due to long-term agreements providing strong earnings support. Valuations have never been a concern for us, but we now see news flow momentum turning positive again.

— Sundeep Gantori and Rajat Bhattacharya

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

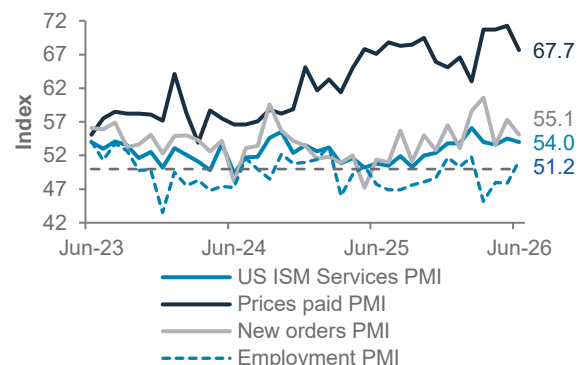
(+) factors: Easing inflationary pressures in China

(-) factors: Escalating geopolitical tensions revive inflation risks

	Positive for risk assets	Negative for risk assets
Macro data	- Euro area Sentix Investor confidence index came in above estimates in July - China headline and core consumer price index rose by 1% y/y, missing estimates	- US ISM services PMI fell to 54.0 in June, as expected, with falling new orders - US existing home sales unexpectedly fell 2.4% m/m in June - Euro area producer price inflation rose more than expected to 5.9% y/y in May - Japan's producer inflation rose to 7.1% y/y in June, exceeding estimates
	Our assessment: Neutral – Easing inflationary pressures in China vs. slower US services activity	
Policy developments	- June Fed meeting minutes showed members divided on rates outlook - Fed's William said rates well positioned and indicated there is no urgent need for any changes	- June Fed meeting minutes highlighted risks from elevated inflation - RBNZ raised the official cash rate by 25bps to 2.5%, hinting further rate hikes will depend on data
	Our assessment: Neutral – Fed members divided on rates outlook, despite elevated inflation	
Other developments	US officials said technical talks between US and Iran negotiators continued, despite the recent escalation in airstrikes	- President Trump said Iran ceasefire is 'over' and launched strikes for two consecutive days - Trump ordered cutting off all trade with Spain - Trump vowed to double down on taking control of Greenland
	Our assessment: Negative – Escalating geopolitical tensions	

US ISM services PMI eased in June as the prices paid and new orders components declined

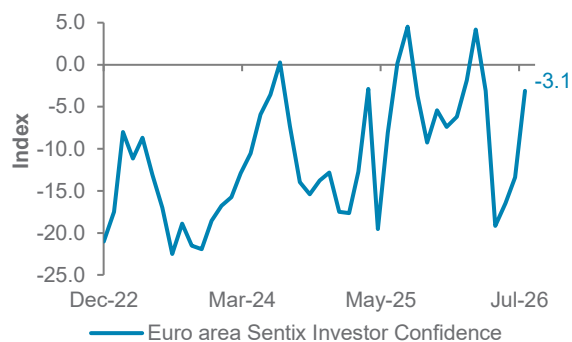
US ISM services PMI and its key sub-indices



Source: Bloomberg, Standard Chartered

Euro area Sentix investor confidence rose for the third consecutive month, beating market estimates

Euro area Sentix investor confidence index



Source: Bloomberg, Standard Chartered

China's June consumer price inflation rose by 1% y/y, below estimates, while producer price inflation came in line with expectations

China consumer and producer price inflation



Source: Bloomberg, Standard Chartered

Top client questions

Q What do markets expect from the upcoming US Q2 2026 earnings season? Do you see any tactical opportunities?

Our view: We favour maintaining a balanced portfolio amid potential market volatility while capturing tactical technology sector upside.

Rationale: The US Q2 earnings season commences next week, spearheaded by reports from major financial institutions. According to LSEG I/B/E/S data as of 2 July, **Q2 S&P500 earning-per-share (EPS) growth is projected at a robust 24.4%**. This represents a sharp upward revision from the start of April (19.2%). Earnings growth is expected to be driven by the **energy sector** due to geopolitical risks, **technology** amid continued AI-related capex growth and **materials** as supply disruptions support pricing in select chemical segments.

Against a backdrop of significantly upwardly revised estimates, the upcoming Q2 earnings season is poised to be a **critical test** of whether robust growth drivers can outweigh near-term volatility risks. We continue to favour **US communication services** and see tactical upside in **global tech** as risk-reward improves. However, we are also increasingly focused on broadening portfolio exposure and adding more defensive elements. In this environment, we maintain our preference for **high-dividend equities**, which can enhance diversification and reduce concentration risk.

— Michelle Kam, CFA, Investment Strategist

Q What are the implications of the recent correction in the Asian technology sector, particularly in the South Korean memory segment?

Our view: We see a short-term bottom emerging for the South Korean memory segment as long-term agreements are providing strong earnings support.

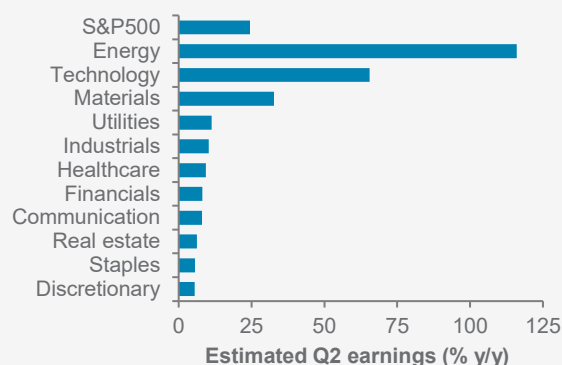
Rationale: The recent correction reflects a broader **unwinding of crowded AI momentum positions**, especially with reduced crowding in memory names, which drove the South Korean market up over 100% gain in H1 2026. **Near-term news flow** is expected to gather pace as more tech companies report in the coming weeks; positive data around rising memory spend as a percentage of data centre capex could restore focus on the sector. However, investors should monitor **supply chain displacement risks**, particularly the potential pivot to China-based memory suppliers.

We are turning **constructive on memory** after the recent correction and believe a **3-4% Core allocation** within a global equity portfolio is prudent. We also see **attractive risk-reward in the large-cap technology sector**; investors Underweight or on the sidelines may consider using the recent correction to add exposure.

— Jason Wong, Senior Equity Analyst

Broad-based S&P500 EPS growth forecasts remain resilient

Projected Q2 2026 earnings growth by sector



Source: LSEG I/B/E/S, Standard Chartered

We are turning constructive on the memory segment after the recent correction, which brought the KOSPI Index down over 20% from its peak

South Korea's KOSPI Index



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q Do you think the record bond issuance by tech sector hyperscalers poses a broader credit market risk?

Our view: We view the record bond issuance by tech hyperscalers as a sector-specific technical headwind rather than a threat to the broader credit market.

Rationale: The scale of the bond issuance is significant. Five Big Tech giants have issued **USD 159bn of bonds** in just five months, reflecting the funding needs of the AI capex cycle. The surge in bond supply has contributed to the **underperformance of technology sector bonds** relative to the broader USD investment-grade (IG) index, with spreads now the widest in a decade. However, we view this as a **technical repricing** rather than a deterioration in credit fundamentals. Most of these issuers maintain strong credit profiles, with substantial liquidity, robust cash reserves and resilient earnings.

For the broader credit market, the impact should remain manageable, given the depth of the US IG market. We remain **Neutral on Developed Market IG corporate credit**, preferring to hold it as a Core allocation within our portfolio. Within tech sector corporate bonds, we prefer to stay selective, favouring stronger balance sheets and shorter maturities. For investors seeking AI-related upside, **we favour US tech equities**, where participation in long-term earnings growth is more direct (see above).

— **Anthony Naab, CFA**, Investment Strategist

Q What are the implications of the latest Reserve Bank of New Zealand (RBNZ) policy meeting for the New Zealand dollar (NZD)?

Our view: The RBNZ's hawkish tone should provide near-term support for NZD/USD to test 0.5820 resistance. However, further gains depend on incoming US inflation data and Fed outlook.

Rationale: The RBNZ delivered the widely expected **25bps rate hike to 2.5%**, but the accompanying statement was interpreted as **more hawkish than markets had anticipated**, prompting traders to price in a greater probability of further tightening in 2026.

Meanwhile, New Zealand's Performance of Manufacturing Index rose to 59.7 in June, its highest level since July 2021. Further NZD gains will likely depend on incoming **New Zealand inflation and labour market data** validating additional rate hikes. External factors, particularly the **Fed's policy outlook** remain key to whether the NZD can extend gains further beyond the first resistance of 0.5820 (the 200-day moving average).

— **Iris Yuen**, Investment Strategist

Heavy bond issuance has widened technology sector yield spreads, but only relative to the broader US IG market

Technology sector IG spreads relative to the broader US IG market



Source: Bloomberg, Standard Chartered

NZD/USD exposed to upside risk on hawkish RBNZ

NZD/USD and technicals



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q What is your outlook for the Canadian dollar (CAD) after the Bank of Canada's (BoC's) 15 July policy meeting?

Our view: We expect the BoC to hold its policy rate at 2.25%. Canada's improved macro data supports a less dovish policy stance. We expect USD/CAD to test support at 1.4080.

Rationale: Canada's real GDP rose 0.5% m/m in April, reversing the 0.1% m/m decline in March, with 14 of 20 sectors expanding. The advance estimate indicates a further 0.1% GDP gain in May. Payroll employment also increased by 22,000 in April, while March payrolls were revised upward to a modest gain of 5,700. Together, the data reduces the urgency for near-term BoC easing.

Inflation remains the counterbalance. **Headline Consumer Price Index (CPI) rose 3.2% y/y** in May from 2.8% in April, mainly due to gasoline prices, which increased 33.2% y/y. Excluding gasoline, CPI rose 2.2%. We expect the BoC to look through this energy-driven rise unless it broadens into persistent underlying inflation. **A policy hold with a less dovish tone should be modestly CAD-supportive.** The July Monetary Policy Report will be important in assessing whether the April growth rebound can be sustained.

— Iris Yuen, Investment Strategist

Q How should investors position between gold and silver after silver's recent correction?

Our view: Gold remains our preferred strategic portfolio anchor and hedge against geopolitical uncertainty. Silver, by contrast, is a higher-beta tactical opportunity that can amplify returns during a precious metals rally.

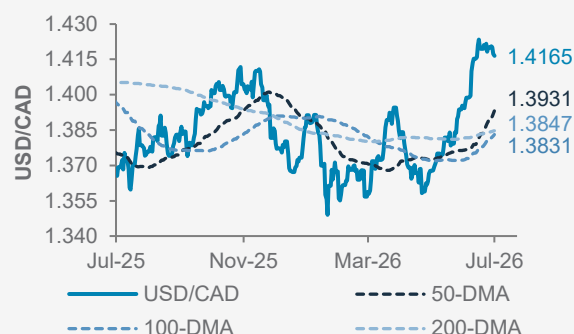
Rationale: Silver's correction from its January 2026 peak has created a more attractive tactical entry point. Our bullish view hinges on a tight physical market. Above-ground inventories remain constrained, while a large share of silver is tied up in industrial forms and is not readily deliverable. This leaves silver sensitive to a liquidity squeeze and disproportionate price spikes if investment demand accelerates.

While silver's heavier industrial exposure makes it more cyclical, this cyclical offers upside if the macro backdrop remains resilient. Assuming the gold-silver ratio remains broadly stable around its historical average of 67.7, our 12-month gold forecast of USD 5,100/oz would imply silver moving towards USD 75/oz. However, it is important to understand silver's significantly higher volatility when right-sizing any position, and to prefer gold as a portfolio diversifier.

— Anthony Naab, CFA, Investment Strategist

We see USD/CAD testing support at 1.4080

USD/CAD and technicals



Source: Bloomberg, Standard Chartered

Silver has scope to rise further if the gold-silver ratio normalises

Gold-Silver ratio and its historical average



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What are the implications of the Fed's new taskforces?

Our view: *The Fed's taskforces are not expected to report until year-end. Thus, short of an exogenous shock, we believe the Fed will remain patient and keep rates on hold through 2026. The taskforces' conclusions and the developing macro outlook will likely lead Fed policy to lean to the dovish side next year.*

Rationale: The Fed has announced the leadership of five task forces that will review key areas of monetary policy under Chair Warsh. The aim is to reassess how the central bank delivers on its dual mandate of price stability and maximum employment.

The five task forces will focus on: a) **Communications strategy:** how often and how clearly the Fed communicates with the markets; b) **Balance sheet:** whether the ample-reserves regime remains appropriate; c) **Data:** ways to improve data collection and real-time accuracy; d) **Productivity and jobs:** the impact of AI on labour markets and output; and e) **Inflation frameworks:** the possible greater use of trimmed-mean inflation measures.

The taskforce leaders come from a diverse set of former central bankers, academics, business executives and investment industry veterans. They will be supported by Fed staff and may call on outside experts, suggesting a wide-ranging and potentially influential review. The groups are expected to start work after the summer and report towards year-end. Their conclusions could reshape how the Fed gathers and interprets data, communicates with markets and calibrates policy. While it is too early to know the final recommendations, three likely policy directions stand out:

Less forward guidance/communications: Warsh appears likely to reduce reliance on explicit forward guidance and allow markets to respond more directly to incoming data. That could create more uncertainty and volatility, but investors should adapt if the Fed is clear about the data it prioritises and its reaction function.

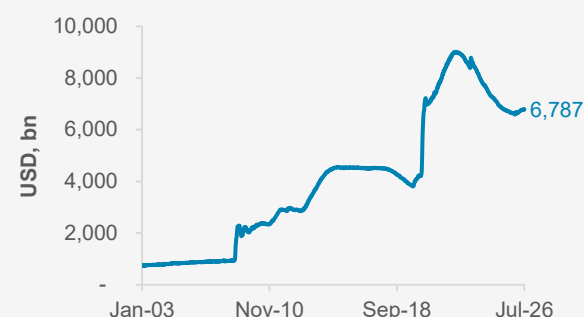
Shrinking the Fed's balance sheet: The Fed's USD 6.7trn balance sheet remains a legacy of the post-Global Financial Crisis liquidity support. Warsh has signalled that it is too large for the current environment and should move towards a more normal level. Any reduction is likely to be gradual, potentially over 2027-28, to avoid unnecessary market disruption. This would reduce liquidity at the margin, but could also help re-establish the Fed funds rate as the primary monetary policy tool and create room for future rate cuts.

Productivity gains to allow for less restrictive monetary policy: The inclusion of AI expertise signals the Fed's interest in whether technology can lift productivity and affect labour market dynamics. The historical parallel is the late-1990s internet-led productivity boost, which allowed the Fed to keep policy less restrictive even as growth accelerated. Near term, AI capex may be inflationary, but over the long term, stronger productivity could prove disinflationary.

— **Jonathan Liang**, Chief Investment Officer, Fixed Income and FX

The Fed's balance sheet has shrunk post COVID; any further reduction is likely to be gradual

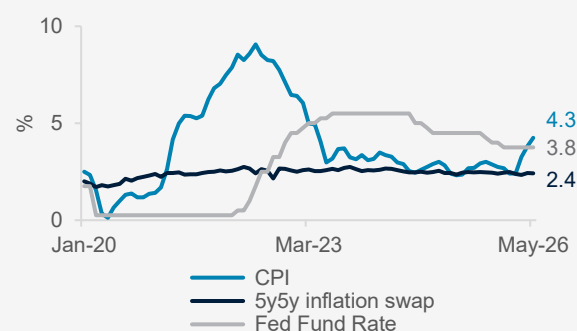
The Fed's balance sheet



Source: Bloomberg, Standard Chartered

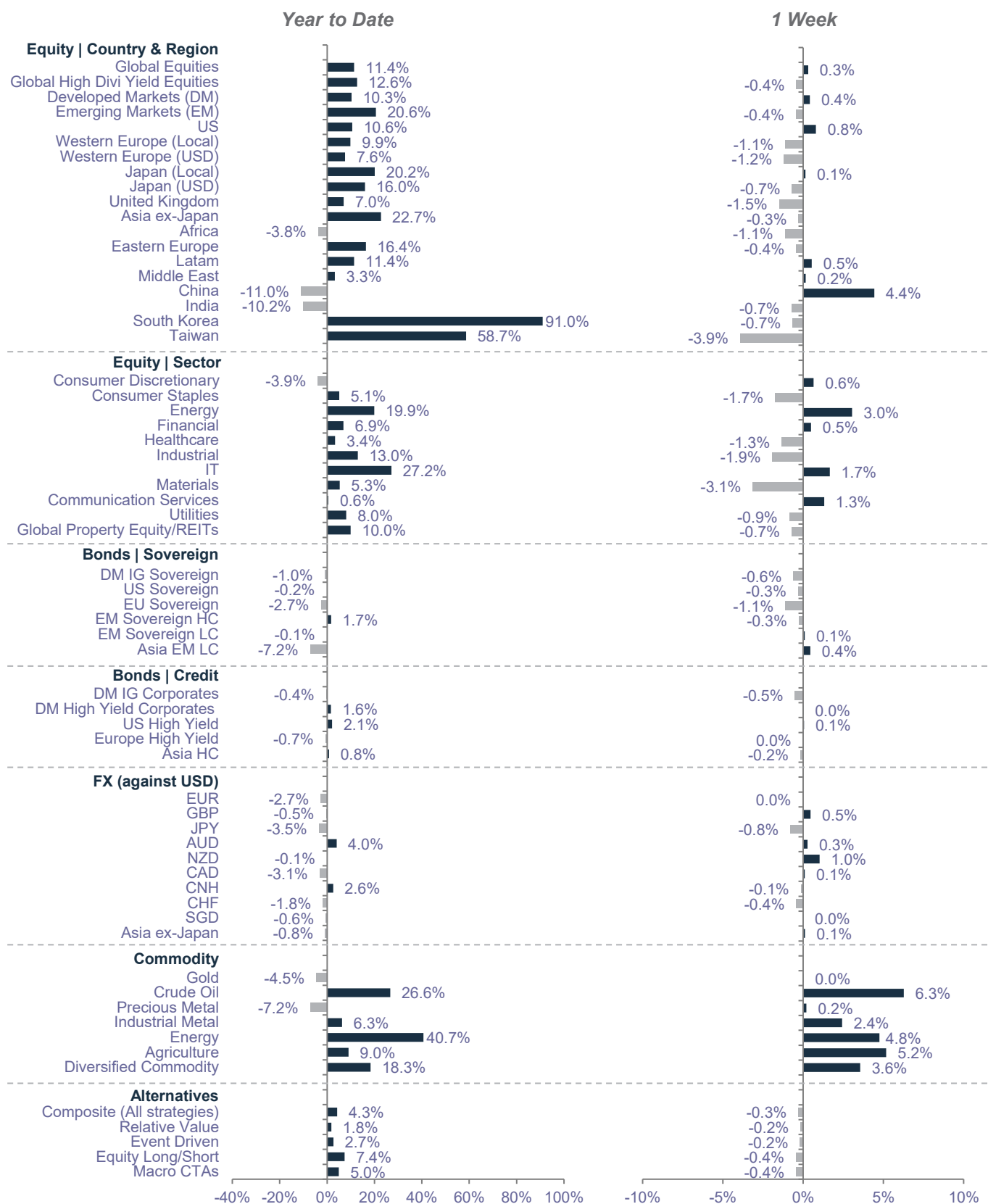
US inflation is likely to decline in the coming quarters following the decline in oil prices since May, enabling the Fed to hold rates this year

US consumer inflation, 5-year-5-year inflation swap, Fed Funds Rate



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 9 July 2026; 1-week period: 2 July 2026 to 9 July 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ◆	US Communication ▲
UK ▼	US Healthcare ▲
Asia ex-Japan ▲	Europe ex-UK Financials ▲
Japan ◆	Europe ex-UK Industrials ▲
Other EM ◆	Japan Financials ▲
	China Communication ▲
Bonds ▼	China Technology ▲
Credit	Govt
Asia USD ◆	Govt EM Local ◆
Corp DM HY ◆	Govt DM IG ▼
Govt EM USD ▲	
Corp DM IG ◆	Alternatives ◆
	Gold ▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,668

Technical indicators for key markets as of 9 Jul close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,544	7,328	7,668	20.3	1.2
STOXX 50	6,284	6,027	6,486	15.3	3.1
FTSE 100	10,472	10,151	10,770	12.7	3.5
TOPIX	4,020	3,812	4,183	17.0	2.3
Shanghai Comp	4,037	3,925	4,162	13.6	3.0
Hang Seng	24,030	22,683	25,213	10.3	3.6
Nifty 50	23,963	23,180	24,638	18.4	1.8
MSCI Asia ex-Japan	1,110	1,062	1,181	11.2	2.2
MSCI EM	1,676	1,608	1,776	10.8	2.6
Crude oil (WTI)	72.1	61.5	88.1	na	na
Gold	4,124	3,917	4,356	na	na
UST 10Y Yield	4.55	4.41	4.64	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market Event	Period	Expected	Prior
MON	USD NFIB Small Business Optimism	Jun	95.5	95.3
	USD Real Avg Weekly Earnings y/y	Jun	—	-0.4%
	USD CPI y/y	Jun	3.9%	4.2%
	USD Core CPI y/y	Jun	2.9%	2.9%
	CNH Exports y/y	Jun	18.5%	19.4%
TUE	CNH Imports y/y	Jun	24.5%	27.4%
	CNH GDP y/y	2Q	4.5%	5.0%
	CNH Retail Sales y/y	Jun	-0.1%	-0.6%
	USD PPI Final Demand y/y	Jun	—	6.5%
	USD PPI Ex Food & Energy y/y	Jun	—	4.9%
WED	CAD Bank of Canada Rate Decision	15-Jul	2.3%	2.3%
	USD Fed Releases Beige Book	16-Jul	—	—
	USD Philadelphia Fed Business Outlook	Jul	15.0	10.3
	USD Retail Sales Control Group	Jun	0.4%	0.7%
	USD Import Price Index y/y	Jun	—	6.7%
THU	USD Housing Starts	Jun	1320k	1177k
	USD Building Permits	Jun P	1408k	1410k
	USD U. of Mich. Sentiment	Jul P	51.3	49.5

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 9 Jul close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	1.93
Global Equities	●	↓	1.38
Gold	●	→	1.39
Equity			
MSCI US	●	→	1.34
MSCI Europe	●	→	1.67
MSCI AC AXJ	●	↓	1.47
Fixed Income			
DM Corp Bond	●	→	1.84
DM High Yield	●	↓	1.47
EM USD	●	↓	1.61
EM Local	●	↑	1.94
Asia USD	●	→	1.84
Currencies			
EUR/USD	●	↓	1.39

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

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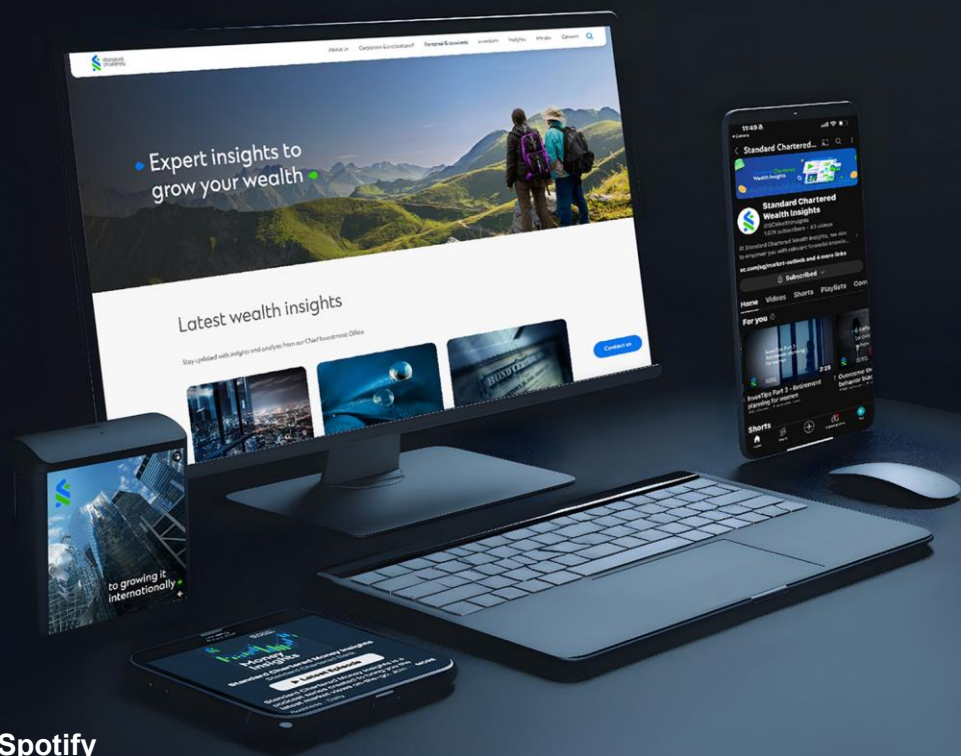
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Weekly Market View

Peak hawkishness?

→ The reopening of the Strait of Hormuz could mark a turning point for the global monetary cycle. With US crude oil back below USD 70/bbl, the energy-inflation threat has likely faded, allowing central banks to stay patient.

→ Lower oil prices have dragged inflation expectations and long-term bond yields lower in the US and Europe since their peak in May, unwinding much of the recent hawkish repricing. Softer US payrolls data for June has pushed back expectations of Fed rate hikes.

→ This backdrop should lead to a consolidation in the USD and support global equities, particularly the rate-sensitive tech sector, and gold.

→ Equities in Asia ex-Japan, especially oil importers such as China and India, should benefit from the pullback in oil prices. Meanwhile, as global reflation broadens, volatile currencies such as AUD should benefit.

Tactically bullish on US tech:
Attractive valuation after H1 underperformance

Bullish AUD: Moderating USD, strong Australian domestic fundamentals

USD/JPY downside: Bank of Japan intervention risk

Charts of the week: Tightening financial conditions

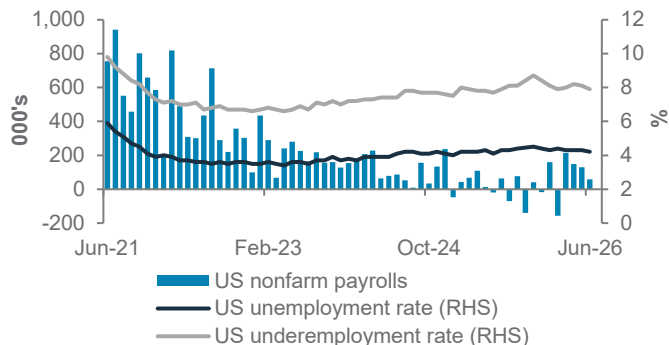
Flattening of the US bond yield curve suggests the recent spike in short-term rates hurt long-term growth expectations

US 10 year vs. 2-year government bond yield spread



Source: Bloomberg, FactSet, Standard Chartered

US non-farm payrolls; unemployment & underemployment rates



Editorial

Peak hawkishness?

Strategy summary: The Strait of Hormuz reopening could mark a turning point for the global monetary cycle. With US crude oil back below USD 70/bbl, the energy-inflation threat has likely faded, allowing central banks to stay patient. Lower oil prices have dragged inflation expectations and long-term bond yields lower in the US and Europe since their peak in May, unwinding much of the hawkish repricing. Softer US payrolls data for June has pushed back expectations of Fed rate hikes.

This backdrop should lead to a consolidation in the USD and support global equities, particularly rate-sensitive tech sector. Equities in Asia ex-Japan, especially oil importers such as China and India, should benefit from the pullback in oil prices.

A turn in the global cycle? At this week's ECB Forum, Fed Chair Warsh pointed to lower bond yields as evidence that markets are pricing lower inflation as oil falls. ECB President Lagarde also said inflation and growth risks were more balanced after last month's hike. The message is clear: lower oil is already changing the policy outlook. With Hormuz shipping traffic only a quarter of pre-conflict levels, further normalisation should reinforce a more benign inflation backdrop.

Soft US jobs report eases pressure on the Fed to hike. June US non-farm payrolls missed consensus by half. Most of the job gains were concentrated in education and health services, reversing a broadening trend in prior months. Wage growth held steady at 0.3% m/m (3.5% y/y), keeping inflation pressures contained. The report challenges the market's narrative of an imminent Fed rate hike, pushing market expectations of a hike to December. We remain sceptical the Fed hikes at all this year as inflation pressures ease with the recent drop in oil prices. We also expect the ECB to hold rates through year-end.

Central bank outlook shifting. The relief is visible across other major central banks, except Japan. Most are now set to stay on hold, creating a lower rate-volatility environment. The RBA has turned neutral after three hikes this year, while weak Swiss growth and subdued inflation argue against further tightening. Even BoE Governor Bailey, while not ruling out a

hike against energy price risks, left open a return to easing. The BoJ, driven by wage growth, remains the clear hawkish outlier.

Did Warsh's debut signal peak hawkishness? In the US, peak Fed hawkishness may already have passed. The roughly +90bps repricing since the Iran War reflected higher neutral-rate expectations and fears of a hawkish Warsh-led Fed. Yet, after a hawkish debut two weeks ago, Warsh this week cited lower inflation expectations as a reason long-term yields had fallen. If inflation keeps easing, as we expect, he is likely to persuade his fellow policymakers to hold rates through year-end. A coming methodology change by the Bureau of Economic Analysis to software prices and portfolio-services costs could also cut core PCE inflation, the Fed's preferred gauge, by Q4.

Peak bond yields and USD? If central bank hawkishness has peaked, bond yields should further ease. We see value in 3-5-year US bond yields in a stable Fed-rate world, while stretched short investor positioning in 10-year bonds points to easing back into the 4.25-4.5% yield corridor. Peak Fed hawkishness also implies USD consolidation, especially with investor positioning stretched, and support gold. As global deflation broadens, volatile currencies such as AUD should benefit.

This backdrop supports global equities. Lower oil prices return purchasing power to consumers and supports the AI-driven wealth effect. This favours Asia ex-Japan equities, helped by expected double-digit earnings growth, and the rate-sensitive technology sector in the US and Asia ex-Japan.

Risks: The above views depend on oil staying low and inflation cooling. If US inflation remains elevated on a stronger labour market, the Fed would be forced to tighten. AI could also prove inflationary rather than deflationary, at least in the near term, justifying higher rates. A hawkish Warsh U-turn, echoing former Fed Chair Alan Greenspan in 2000, could challenge the AI-led equity bull market. Finally, the fragile US-Iran ceasefire could collapse after the US mid-term elections in November, lifting oil prices sharply. We therefore stay diversified and hedge geopolitical risk through gold and alternatives.

— Rajat Bhattacharya

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as positive for risk assets in the near-term

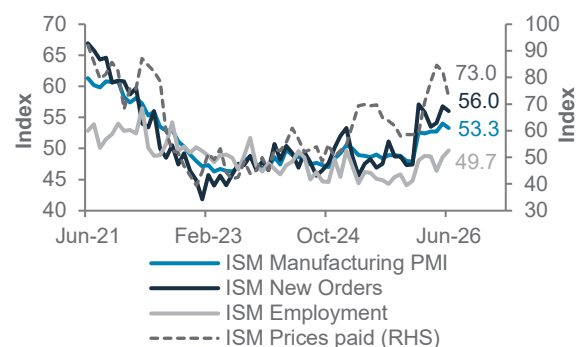
(+) factors: Easing Euro area inflation, robust China activity

(-) factors: Softening US payrolls, manufacturing data; escalating country-specific trade tensions

	Positive for risk assets	Negative for risk assets
Macro data	- US job openings were resilient at 7.6mn in May, beating expectations - Euro area headline and core inflation in June missed expectations - Euro economic confidence came in above estimates - China mfg. and non-mfg. PMI beat estimates in June - China industrial profits rose 21.1% y/y in May	- US added 57,000 non-farm payrolls in June, missing estimates by half; May's payrolls were revised lower - US private payrolls rose less than expected by 98,000 in June - US ISM manufacturing and new orders PMIs fell more than expected in June, while prices paid dropped - US Conference Board consumer confidence index missed in June
	Our assessment: Neutral – Easing Euro area inflation vs. slower US jobs creation	
Policy developments	- Fed Chair Warsh declined to commit to a rate hike - ECB's Kazaks and Demarco said central bank should avoid rushing into further interest rate hikes - BoE Governor Bailey said no rush to hike rates	Fed's Kashkari has shifted his year-end rate call from one cut to one hike, citing the inflation spike
	Our assessment: Positive – Potential central banks pause	
Other developments	Korea announced plans for three mega projects to develop new chip production hubs, data centres and robotics technology	- President Trump warned of 100% tariff on any country that levies a digital services tax on US firms - The US decided against renewing its trade deal with Canada and Mexico - China added 20 more Japanese firms to its export control blacklist
	Our assessment: Negative – Escalating country-specific trade tensions	

US ISM manufacturing PMI eased in June, while the prices paid component dropped sharply, indicating lower cost pressures

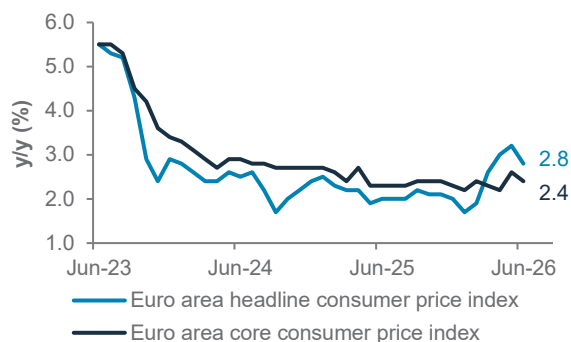
US ISM manufacturing PMI and its key sub-indices



Source: Bloomberg, Standard Chartered

Euro area inflation missed estimates in June, easing ECB rate hike expectations

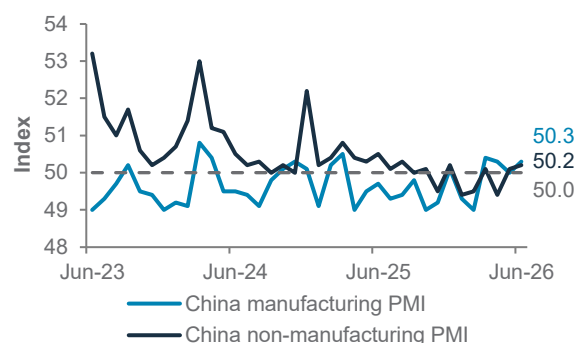
Euro area headline and core consumer price index



Source: Bloomberg, Standard Chartered

China's June PMIs beat market expectations, driven by high-tech and AI-related export demand. Both remained in expansionary territory

China manufacturing and non-manufacturing PMI



Source: Bloomberg, Standard Chartered

Top client questions

Q What is behind the Magnificent Seven's ('Mag 7') recent underperformance? Is it a good time to add exposure?

Our view: We see the underperformance as an opportunity to add exposure, with a preference for diversified exposure across semiconductors, internet, hardware and software.

Rationale: The Mag 7 (seven mega-cap US stocks) have posted their **first negative H1 performance** since the AI boom began in November 2022. The group returned -1.7% over the period, lagging the S&P500 at +10.2% and the Nasdaq-100 at +20.3%.

The market is now scrutinising the relationship between investment and profitability far more closely. Guidance from the cohort's members to spend hundreds of billions on **AI development** has fuelled **capex fatigue**, while equity offerings to fund the AI buildout have added further pressure on individual names. Internal dispersion has also widened materially, as investors increasingly differentiate between perceived AI-monetisation leaders. Notably, leadership in H1 2026 rotated towards **memory-related names**, where tightening supply and AI-driven demand supported stronger pricing power.

That said, we believe **recent concerns are overdone**. Set against expectations of double-digit earnings growth and meaningful monetisation upside, the backdrop remains **constructive**. Valuations have grown more compelling, which offers an **appealing entry point** into some of the market's highest-quality growth names.

— Jason Wong, Senior Equity Analyst

Q Should we add exposure to memory chip equities?

Our view: We remain constructive on memory chip equities and prefer to maintain a core allocation of around 3-4% of our global equities portfolio to the industry.

Rationale: Memory chip equities have performed phenomenally well year to date. Growing AI adoption, supply tightness in high-bandwidth memory (HBM) chips and longer-term customer commitments still support the cycle. We expect memory prices to eventually see a **soft landing** rather than a hard landing. Announced **capacity additions**, including those from South Korean chipmakers, are likely to be phased in gradually, with meaningful new supply not expected to arrive until 2027-28. At the same time, **the mix is shifting** from commodity DRAM/NAND chips towards AI-focused HBM, where pricing is often backed by long-term agreements.

However, **volatility** in memory chip equities can be extreme, with crowded positioning that can swing suddenly. An **antitrust lawsuit** has also emerged against major memory chipmakers, which could affect risk sentiment. Persistent concerns about **excess capacity** also contribute to the volatility. Tech hardware companies may try to diversify their supply chains away towards smaller suppliers. Hence, we prefer to maintain a **core exposure** to the industry.

— Fook Hien Yap, Senior Investment Strategist

Valuations have become increasingly attractive, with the Magnificent Seven's valuation premium to the S&P500 falling to its lowest level since the AI boom began in November 2022

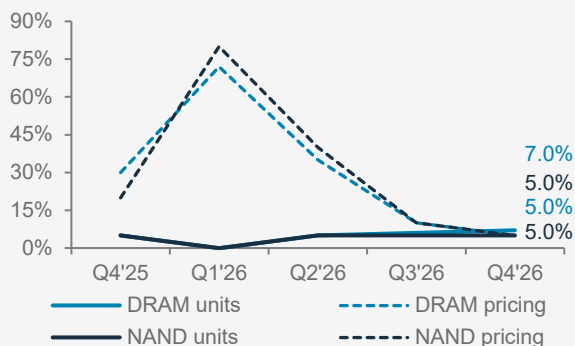
Relative 12-month forward P/E valuation premium of the Magnificent Seven and the S&P500



Source: Bloomberg, Standard Chartered

Profits in the memory chip industry have been driven by significant pricing surges, although we expect an eventual soft landing in memory prices

DRAM and NAND chip unit and pricing growth estimates, quarter-on-quarter (q/q)



Source: Company reports, Standard Chartered

Top client questions (cont'd)

Q After the ECB's June 'insurance hike', are you maintaining your view that the ECB will remain on hold for the rest of 2026?

Our view: We maintain our view that the ECB will keep policy rates unchanged for the rest of 2026, despite its recent hawkish rhetoric and an upward revision to its inflation projections.

Rationale: We view the ECB's 25bps rate increase on 11 June – which brought the deposit rate to 2.25% – as a **recalibration**, or an 'insurance hike', aimed at anchoring inflation expectations rather than marking the beginning of a prolonged tightening cycle.

Crucially, the Euro area's June inflation print surprised to the downside at 2.8% y/y, falling well below both the 3% y/y market estimate and May's 3.2% y/y. This faster-than-expected moderation reinforces our view that the recent energy-driven spike was temporary and suggests that market fears over a sustained inflation resurgence were overstated. With headline inflation now back below the 3% threshold, **pressure on the ECB Governing Council to deliver a follow-up hike in September** has reduced significantly.

Simultaneously, the Euro-area economy continues to face **meaningful growth headwinds**, with Q1 GDP contracting by 0.2% q/q. Against this backdrop, additional rate hikes would increase the risk of a policy mistake similar to those in 2008 and 2011, when the ECB tightened into a weakening economy. We therefore expect the ECB to adopt a **data-dependent 'wait-and-see' approach**, allowing policymakers to assess whether temporary energy-driven inflation gives rise to more persistent second-round effects before considering any further policy tightening.

— Anthony Naab, CFA, Investment Strategist

Q Do you expect both the Australian dollar (AUD) and the CNH (Offshore Chinese yuan) to sustain their uptrend against the US dollar (USD) in H2 2026?

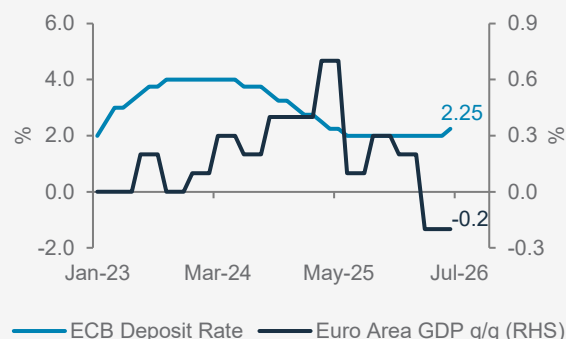
Our view: We expect both the AUD and the CNH to appreciate against the USD in H2 2026, although the pace is likely to be gradual and subject to near-term volatility.

Rationale: Our constructive view on the AUD and the CNH is driven by our expectation that **USD strength will gradually moderate** over the medium term. The sharp decline in oil prices is expected to help ease US inflation over time, thereby reducing expectations for further Fed tightening and providing a more **supportive backdrop for both the AUD and the CNH**.

We expect the AUD to benefit from **Australia's resilient economic fundamentals**. The country's labour market has remained solid, with employment rising by 40,300 in May, while the Manufacturing Purchasing Managers' Index (PMI) improved to 51.5 in June, signalling expanding activity. **Sticky inflation** should keep the RBA

The fundamental justification for further ECB tightening has weakened, with inflation cooling and GDP contracting

ECB deposit rate vs. Euro area GDP (q/q)



Source: Bloomberg, Standard Chartered

AUD and CNH are likely to sustain their uptrend vs. USD

AUD/USD and USD/CNH



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

relatively cautious on policy easing. In addition, a **recovery in Chinese demand for key Australian exports**, including iron ore and copper, should provide further support for the AUD.

We remain constructive on the CNH as recent China data points to **modest economic stabilisation**. The official Manufacturing PMI returned to expansionary territory at 50.3 in June, while the non-manufacturing PMI improved to 50.2 and the composite PMI rose to 50.6. Private manufacturing data also remained resilient, with the June PMI at 51.7 and Q2 2026 marking the strongest quarterly performance since late 2020. Together, these developments, along with **continued policy support**, should help underpin the CNH over the medium term.

However, while we are constructive on both currencies, we expect the **AUD to appreciate more quickly than the CNH**, as the latter continues to face headwinds from trade tensions and uncertainty over capital flows.

— Iris Yuen, Investment Strategist

The Japanese yen (JPY) is at a four-decade low against the USD, despite rate hikes from the BoJ. Should we anticipate FX intervention soon?

Our view: We believe there is a higher bar for FX intervention now that USD/JPY has broken past the previous key psychological level of 160. Thin trading volumes today due to the US Independence Day holiday could present a more effective opportunity for Japan's Ministry of Finance (MoF), with intervention likely around 164-165.

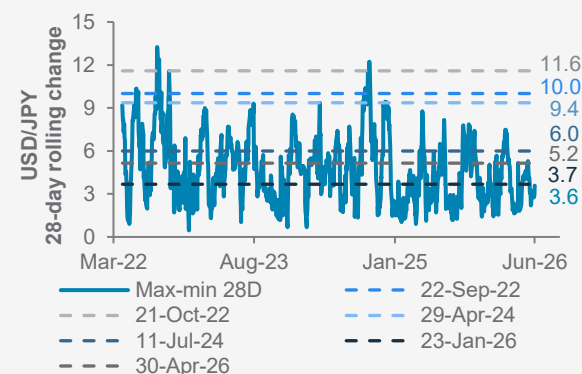
Rationale: The market is fully pricing in one Fed hike by year-end 2026 and another hike in H1 2027. While these expectations are still growing alongside resilient US inflation data, the ongoing repricing has supported **higher US government bond yields and wider US-Japan rate differentials**, overwhelming the impact of MoF's intervention in late April. That intervention had briefly pushed USD/JPY from around 160 to 156 before the pair resumed its climb to fresh highs above 162.

In our view, **Japanese policymakers are likely to wait for softer US inflation or labour market data** that reduces Fed hike expectations before intervening again, as such a backdrop would increase the probability of a more durable intervention effect. Looking back at previous confirmed intervention periods, the **risk of intervention is increasing**. The USD/JPY 28-day rolling change is now at +3.6, with previous intervention thresholds around 5. With spot close to 162, the **MoF may wait until the 164-165 range** before intervening.

— Iris Yuen, Investment Strategist

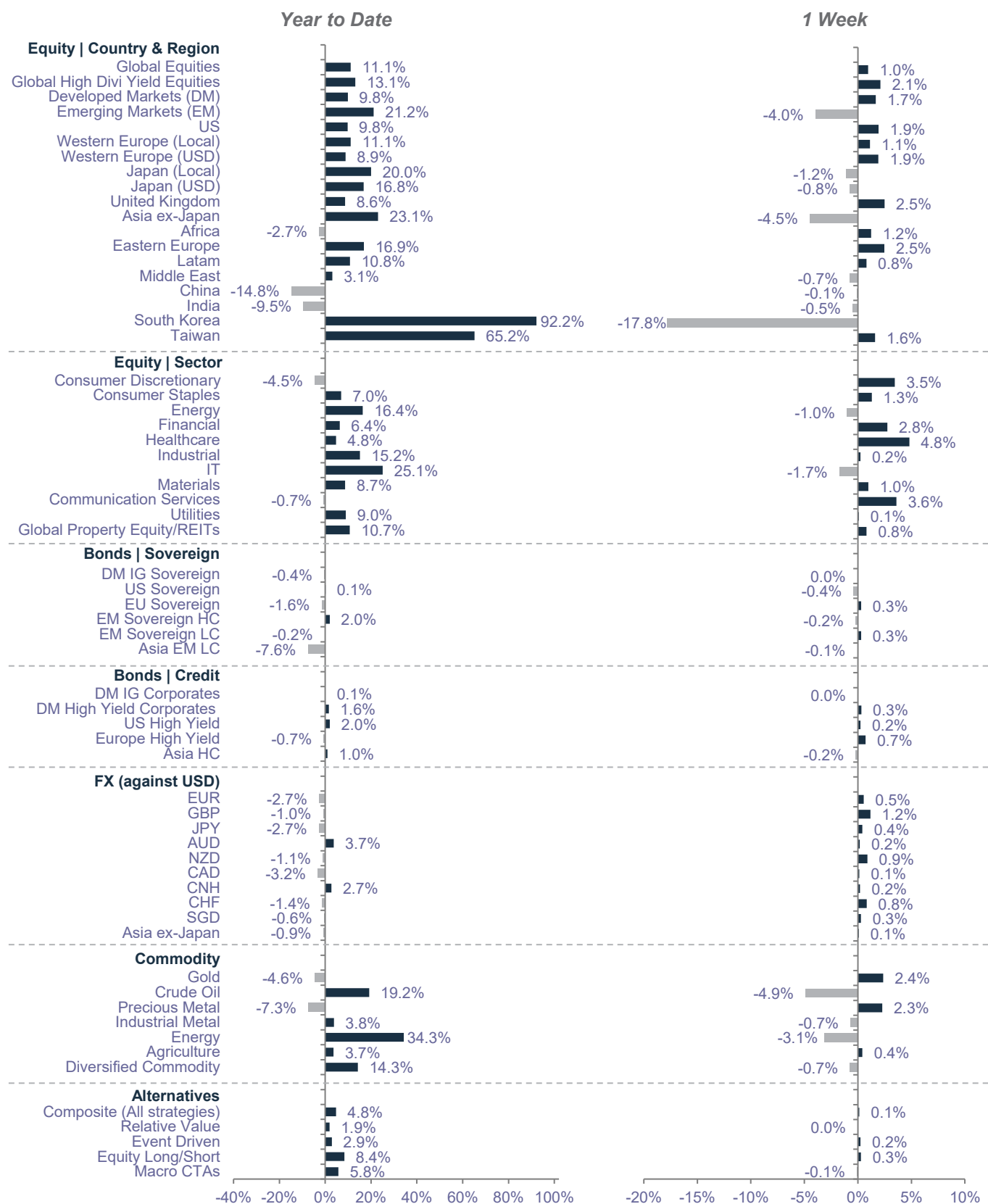
USD/JPY intervention threshold is rising modestly

USD/JPY 28-day rolling change and previous intervention dates



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 2 July 2026; 1-week period: 25 June 2026 to 2 July 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ◆	US Communication ▲
UK ▼	US Healthcare ▲
Asia ex-Japan ▲	Europe ex-UK Financials ▲
Japan ◆	Europe ex-UK Industrials ▲
Other EM ◆	Japan Financials ▲
	China Communication ▲
	China Technology ▲
Bonds ▼	
Credit	Govt
Asia USD ◆	Govt EM Local ◆
Corp DM HY ◆	Govt DM IG ▼
Govt EM USD ▲	
Corp DM IG ◆	Alternatives ◆
	Gold ▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,657

Technical indicators for key markets as of 2 Jul close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,483	7,274	7,657	20.2	1.2
STOXX 50	6,360	6,090	6,512	15.5	3.1
FTSE 100	10,653	10,289	10,856	12.9	3.5
TOPIX	4,015	3,819	4,157	17.0	2.3
Shanghai Comp	4,029	3,913	4,160	13.5	3.0
Hang Seng	23,055	21,700	25,227	9.8	3.7
Nifty 50	24,176	23,410	24,601	18.5	1.8
MSCI Asia ex-Japan	1,114	1,064	1,184	11.8	2.1
MSCI EM	1,684	1,613	1,782	11.3	2.5
Crude oil (WTI)	68.7	58.2	88.1	na	na
Gold	4,122	3,863	4,462	na	na
UST 10Y Yield	4.48	4.37	4.59	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	EUR	Sentix Investor Confidence	Jul	–	-13.4
	EUR	PPI y/y	May	–	4.9%
	EUR	Retail Sales y/y	May	1.6%	1.0%
	USD	ISM Services Index	Jun	54.2	54.5
TUE	USD	Trade Balance	May	-\$78.8b	-\$55.9b
WED	NZD	RBNZ Official Cash Rate	8-Jul	2.5%	2.3%
THU	USD	FOMC Meeting Minutes	17-Jun	–	–
	CNH	PPI y/y	Jun	–	3.9%
	CNH	CPI y/y	Jun	–	1.2%
	USD	Initial Jobless Claims	4-Jul	–	–
	USD	Continuing Claims	27-Jun	–	–
FRI/ SAT	USD	Existing Home Sales	Jun	4.24m	4.17m

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 2 Jul close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	→	1.62
Global Equities	○	↓	1.30
Gold	○	→	1.42
Equity			
MSCI US	○	↓	1.29
MSCI Europe	○	↓	1.42
MSCI AC AXJ	○	↓	1.37
Fixed Income			
DM Corp Bond	●	→	1.60
DM High Yield	○	↓	1.36
EM USD	○	↓	1.45
EM Local	●	→	1.63
Asia USD	●	→	1.63
Currencies			
EUR/USD	●	→	1.62

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ○ Low to mid | ○ Critically low

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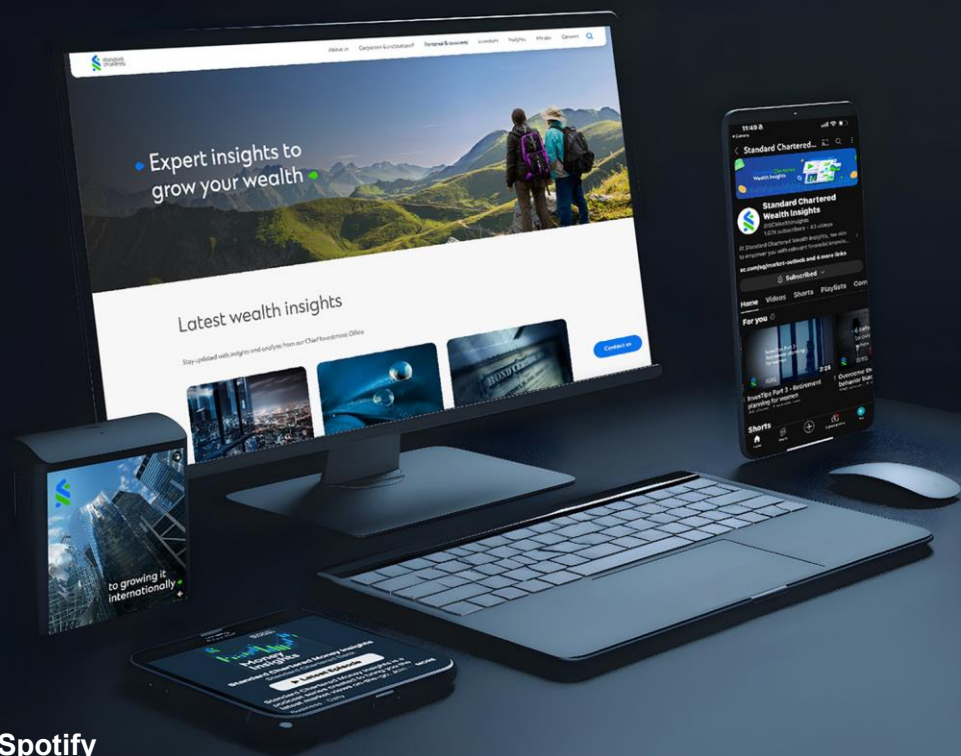
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